



4.1 Globalisation

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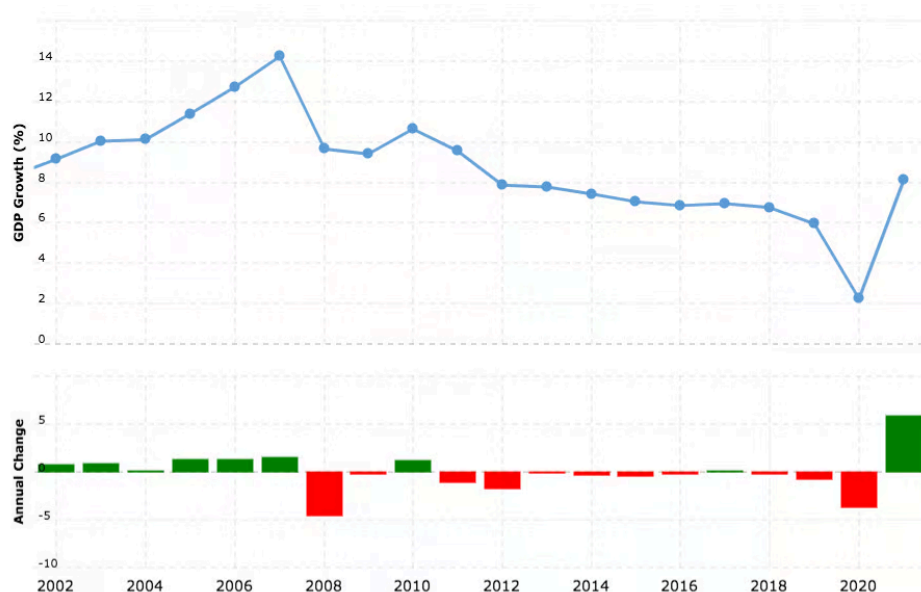
- * Growing Economies
- * International Trade & Business Growth
- * Factors Contributing to Increased Globalisation
- * Protectionism
- * Trading Blocs



UK growth compared with emerging economies

- The **growth rate** of a country is measured by the annual change in its **gross domestic product** (GDP)
- **Emerging economies** are economies that have increasing growth rates but relatively low income per head (per capita)
 - E.g. India, China and Brazil are considered to be emerging economies
- UK growth tends to be **lower than that of emerging economies**
 - A key factor in why emerging economies are growing at a faster rate than the UK economy is because of the growth of their **manufacturing sectors**
 - The UK economy has seen a decline in its manufacturing sector as businesses choose to manufacture in emerging economies due to **lower labour costs** and **access to raw materials**
 - **China** is the **world's largest manufacturing** economy and **exporter** of goods

China's growth

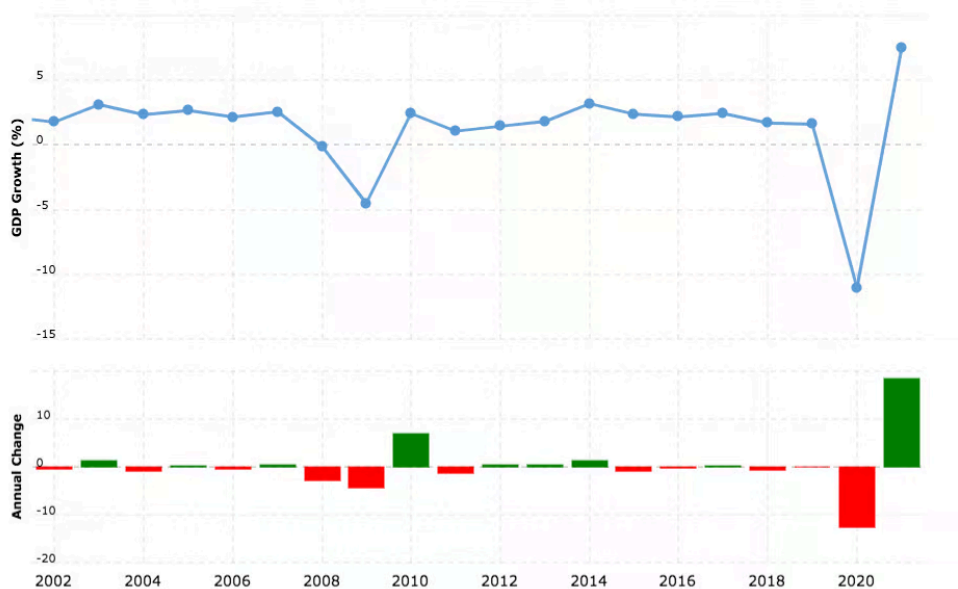


The growth rate of China from 2002 to 2021 peaked at around 14% Source: Macrotrends

The UK's growth



Your notes



The growth rate of the UK from 2002 to 2021 peaked at around 4% Source: Macrotrends

- A comparison of the two charts above quickly reveals that the growth rate of **China is consistently higher** than that of the UK
 - The UK growth rate peaked at around 4% in 2000, whereas China peaked at around 14% in 2007



Examiner Tips and Tricks

In Paper 1, Extracts A-D may include graphs with economic data such as GDP figures, and you may be required to interpret and explain trends over a period of time.

Make sure you read the titles and labels of the axes to be clear about what the information is showing.

Emerging economic power in the developing world

- Globalisation is the **economic integration of different countries** through increasing freedoms in the cross-border movement of people, goods/services, technology and finance
- The past twenty years have been characterised by **rapid globalisation** and the growing economic power of less economically developed countries
- The integration of global economies has impacted national cultures, spread ideas, and **sped up industrialisation** in developing nations
- Emerging economic powers of countries within Asia, Africa and other parts of the world include:



- **BRICS:** Brazil, Russia, India, China and South Africa
- **MINT:** Mexico, Indonesia, Nigeria and Turkey
- Emerging economies have a **growing middle class** with increasing incomes, which allows their citizens to spend more on domestic goods and imported goods from abroad
 - This increases the **profitability of international firms** that sell their goods and services in these emerging economies

The implications of economic growth

- Economic growth **helps to generate income** in a country, and there are numerous implications for businesses and individuals within it

The impact of economic growth on businesses and individuals

Impacts on businesses	Impacts on individuals
▪ Potential for increased profits as businesses enter new markets and gain more customers ▪ Customers are likely to have income elastic demand, leading to increased sales and revenues/profits	▪ Reduced unemployment, as there is more demand, which requires more labour to increase output
▪ Reduced costs of production, as businesses can benefit from lower labour costs and cheaper raw materials in emerging economies	▪ Increased average incomes, as individuals now have rising incomes due to employment, which increases the standard of living
▪ Increased trade opportunities as demand for goods and services increases	▪ Access to quality public services as more tax revenue is generated, so the government can improve the quantity and quality of public services
▪ Increase in investment because, as the economy grows, businesses want to expand, so they are more likely to invest ▪ There may also be an increase in foreign direct investment (FDI), as businesses want to benefit from growing economies	

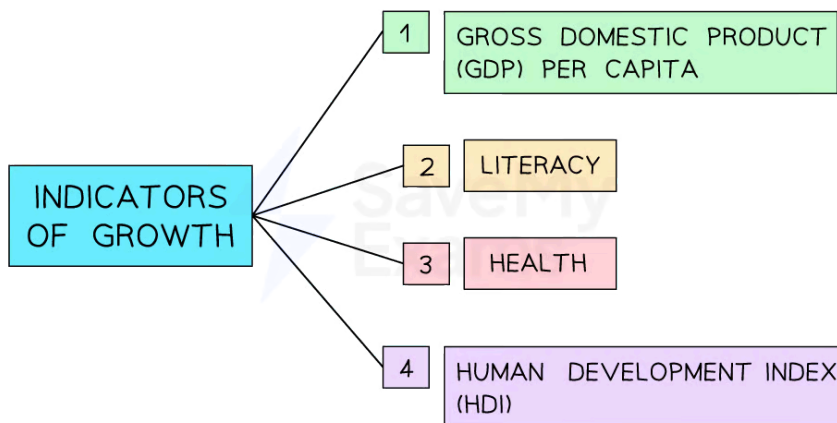
Indicators of growth

- There are **four key indicators** used to assess the economic growth of emerging economies
 - Businesses will consider these indicators when deciding which markets to invest in for future expansion



Your notes

Key growth indicators



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Indicators of economic growth within an economy include GDP, literacy, health levels and the Human Development Index score

Indicator of growth	Explanation
GDP per capita	GDP per capita is calculated by taking the total output (GDP) of a country and dividing it by the number of people in that country High GDP per capita is associated with a high standard of living - It is important to look at the GDP per capita over a period of time to see whether there has been an improvement GDP per capita can also be a useful indicator to compare the growth in two countries
Health	- The health of a country's citizens is important to businesses that want to invest in emerging economies, as this will have an impact on the quality of the workforce - Key indicators to consider are average life expectancy, the infant mortality rate, access to healthcare and access to clean water
Literacy	Literacy refers to the percentage of adults within an economy who can read and write - According to the OECD's 2016 International Adult Literacy Survey, the differences in average skill levels among OECD



Your notes

	countries explain 55% of the differences in economic growth Information about literacy rates is important, as this will determine the quality of the workforce as well as the customers businesses will be selling to
Human Development Index	- The Human Development Index (HDI) combines the factors of life expectancy, education and income to determine the quality of development of citizens within a country - Specifically, the HDI looks at life expectancy, mean years of schooling and gross national income (GNI) per capita - The HDI was created by the United Nations and is measured between 0 and 1 (1 being the highest) - The problem with using the HDI as a measure of development is that: - It does not account for inequalities within a country - There is a lack of reliable data in some countries



Examiner Tips and Tricks

In Paper 1, you should be able to assess the information given in extracts A-D. Questions that use the command word "assess" require you to outline the advantages and disadvantages of the indicators. Make sure you apply your assessment to the context of the business within the extract.



Business specialisation and competitive advantage

Imports and exports

- Businesses that trade internationally import and export goods/services
 - **Imports** are goods and services **bought by people and businesses in one country from another country**
 - In 2022, the UK's biggest import was cars, valued at approximately £3.25bn
 - **Exports** are goods and services **sold by domestic businesses** to people or businesses in other countries
 - In 2022, China's biggest export was smartphone manufacturing, valued at approximately \$21.4bn
- Exports generate **extra revenue** for businesses selling their goods abroad
- Imports result in money leaving the country, which generates **extra revenue for foreign businesses**

Specialisation and competitive advantage

- **Specialisation** occurs when a country/business decides to focus on producing a particular good/service
 - Businesses specialise when they focus on a specific good/service; e.g. Apple focuses on the production of technological products and services
 - Countries can also specialise in a narrow range of goods and services; e.g. Ghana specialises in cocoa and gold
- Specialisation can increase the quantity and quality of goods and services produced. This has many benefits, including:
 - **Lower unit costs** due to **economies of scale**, as costs are spread over a large output
 - Lower unit costs allow the business to **lower prices** for consumers, leading to more sales
 - If businesses do not lower their selling price, then, due to the lower costs, they are able to **increase their profit margins**
 - Any **excess output** can be sold abroad as exports
- When businesses specialise, it can also help them gain a **competitive advantage**
 - If they can **increase the value added** on their goods/services, this can help to **gain an edge over their competitors**

- An example of a competitive advantage is having access to markets, resources and materials that competitors do not have access to

Foreign direct investment and business growth



Your notes

- **Foreign direct investment (FDI) is investment by foreign firms that results in more than a 10% share of ownership in domestic firms**
- Businesses typically grow through FDI as mergers, takeovers, partnerships or **joint ventures** are created with a foreign business in order to enter new markets
 - E.g. EE was formed in 2012 as a joint venture between the French company Orange and the German company T-Mobile, allowing access to a greater share of the UK market
- Countries benefit from **FDI**, as it can lead to:
 - **Increased economic growth**, as there is an inflow of money into the country
 - **Increased job opportunities** as businesses expand operations
 - **Access to knowledge and expertise** from foreign investors
- **Inward FDI** occurs when a foreign business **invests in the local economy**
 - E.g. in 2017, Kenya opened the Kenya Standard Gauge Railway line built by Chinese investors
- **Outward FDI** occurs when a domestic business expands its operations **to a foreign country**
 - E.g. Dyson has moved its manufacturing from the UK to Malaysia, China and the Philippines



Trade liberalisation

- **Globalisation** is the **economic integration of different countries** through increasing freedoms in the cross-border movement of people, goods/services, technology and finance
- There are many reasons why the speed of globalisation has increased, including increasing levels of **trade liberalisation**
- **Trade liberalisation** is the removal or reduction of barriers to trade between different countries

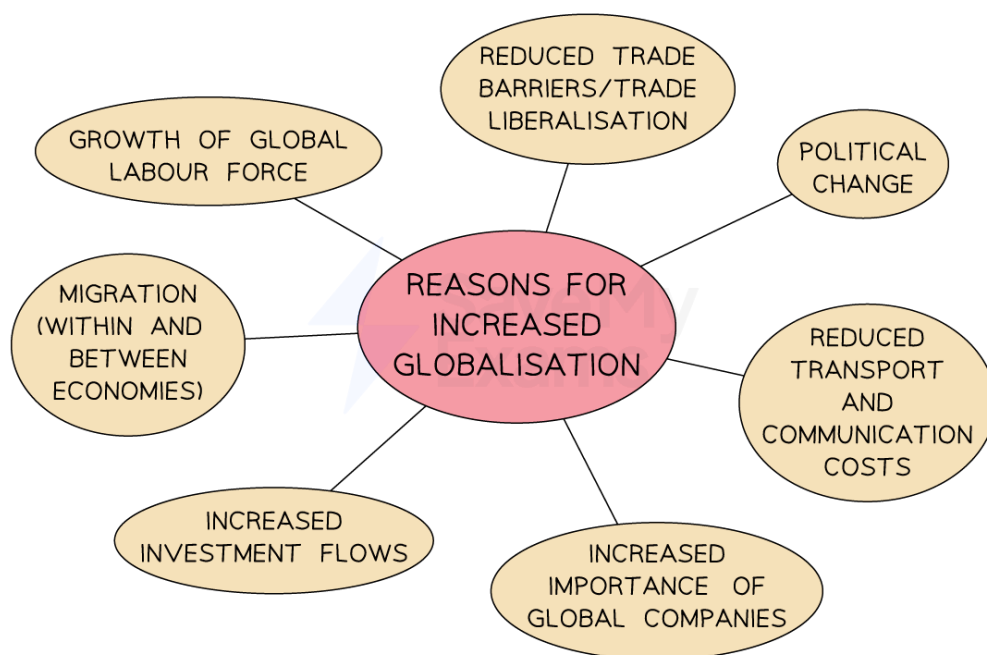
Evaluation of trade liberalisation

Benefits of trade liberalisation	Drawbacks of trade liberalisation
▪ Increased international trade allows businesses to increase their market size ▪ This leads to increased output, so countries can benefit from economies of scale ▪ Freer trade helps businesses reduce costs, as imported raw materials and components can be sourced more cheaply	▪ Domestic firms, in particular infant industries, may not be able to compete against international firms ▪ Some industries may be subject to dumping as businesses abroad may sell excess products at unfairly low prices

Influences on globalisation

- There are many reasons for the increasing levels of globalisation
- The **context of an individual country** determines which of these reasons has had the greatest impact on its economy
 - E.g. the USA has lost numerous manufacturing sectors as **production has moved to lower-cost countries** such as India and China

Reasons for increased globalisation



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Reasons for increased globalisation include reduced trade barriers, reduced transport costs and migration

Factors contributing to increased globalisation

Factor	Explanation
Political change	- Changes in the government of a country can influence the country's attitude to trade - E.g. China joined the World Trade Organisation in 2001, which led to a significant increase in its exports
Reduced cost of transport and communication	Economies of scale due to innovation in containerisation on large ships have reduced business costs - Technological advancements due to the internet/mobile technology have made it easier for buyers and sellers to connect with one another
Increased significance of global companies	- A transnational company is a business that operates in more than one country - These businesses will have their headquarters in one country but have branches in other countries - E.g. Nike has its headquarters in Oregon, United States. As of 2022, it has 1,046 retail stores throughout the world



Your notes

	With increasing numbers of transnational companies operating globally, there is increased pressure on countries to engage in free trade
Increased investment flows (FDI)	- Foreign direct investment (FDI) is important for job and wealth creation within an economy - It allows businesses to establish themselves in countries where they may face trade barriers
Migration (within and between economies)	Migration is the movement of people from one location to another - Migration has led to increased globalisation, as better transportation and deregulation have allowed workers to have more flexibility when looking for work - E.g. in 2022, the United Arab Emirates had the highest proportion of immigrants, at 88%
Growth of the global labour force	- The global labour force has grown significantly, especially due to the growth of emerging economies such as India and China - This has increased globalisation due to the following reasons: - More people working means more income to spend on goods and services, boosting global demand - An increased supply of labour leads to falling wages, which is beneficial in reducing business costs - More people working generates increased levels of entrepreneurship
Trade liberalisation	- Reducing or removing trade barriers, such as tariffs and quotas, makes it easier and cheaper for businesses to export and import goods across borders, encouraging international trade - With fewer restrictions, businesses can more easily expand into new markets, leading to stronger economic links between countries and greater global interdependence

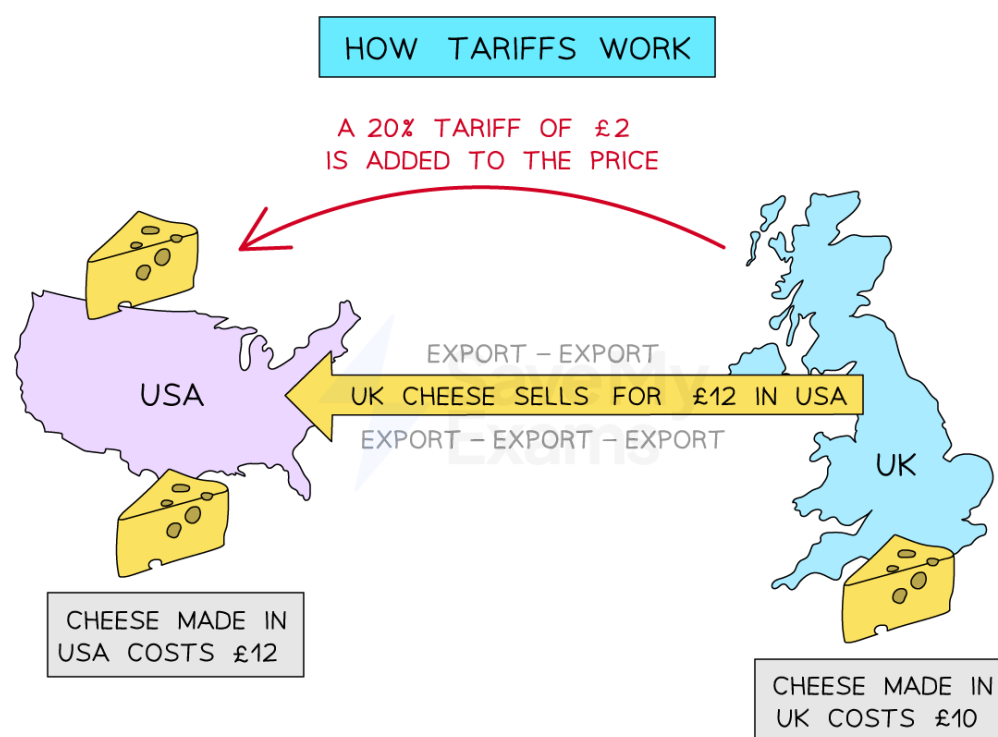
- Structural change can also occur, which is **when a country, industry or market changes which sector or industry it operates in**
 - E.g. the UK has shifted from the manufacturing sector to the tertiary sector over the last 50 years
 - Offshoring** is a common practice and speeds up the process of globalisation



Protectionism — tariffs

- **Protectionism** is when a government seeks to **protect domestic industries** from foreign competition
- A **tariff** is a tax placed on imported goods from other countries
 - For example, tennis rackets imported into the UK from China have a tariff of 4.7%
- A tariff **increases the price** of imported goods, which helps to **shift demand** for that product/service from foreign businesses to **domestic businesses**

How tariffs work



When the USA places a tariff on imported cheese from Britain, the price of British cheese in the USA rises

- American customers are now more likely to **purchase American cheese**, as the tariff has made British cheese **more expensive**
- The **benefits of tariffs** include:
 - Protects **infant industries** so they can eventually become more competitive globally
 - Increases **government tax revenue**



Your notes

- Reduces **dumping** by foreign businesses, as they cannot sell below the market price
- The **disadvantages of tariffs** include:
 - **Increases the cost** of imported raw materials, which may affect businesses that use these goods for production, leading to higher prices for consumers
 - **Reduces competition** for domestic firms, as they may become more inefficient and produce poor-quality products for their customers
 - **Reduces consumer choice**, as imports are now more expensive, and some customers will be unable to afford them



Examiner Tips and Tricks

Students are often confused about who pays the tariff. It is not the foreign company but the domestic company that pays the tariff. In our cheese example above, any retailers in the USA who import cheese from Britain have to pay the tariff (import tax) when it crosses the border into the USA. This policy may help cheese manufacturers in the USA, but it harms any other business that imports and sells foreign cheese, as it raises the costs of production.

Import quotas

- An **import quota** is a **government-imposed limit** on the amount of a particular product allowed into the country
 - E.g. China has set an import quota on Cambodian rice of approximately 5.32m tonnes per year



The quota on rice imports from Cambodia to China helps to protect rice farmers in China

- Restricting the physical amount of imports means that domestic businesses face **less competition** and benefit from a higher market share
 - More of the domestic demand is now met by domestic producers
- The **benefits of import quotas** include:
 - To **meet the extra demand**, domestic businesses may need to hire more workers, which reduces unemployment and benefits the wider economy
 - The higher price for the product may encourage **new businesses to start up** in the industry
 - Countries are able to **easily change** import quotas as market conditions change
 - Foreign countries view a quota as **less confrontational** to their business interests than tariffs
 - These countries' exporters can still sell their goods at the higher price in domestic markets (albeit a limited amount)
- The **disadvantages of import quotas** include:
 - Quotas limit the supply of a product, and whenever supply is limited, the **price of the product rises**
 - They may generate tension in the relationships between trading partners
 - Domestic firms may become **more inefficient** over time as the use of quotas reduces the level of competition

Other trade barriers



Your notes

- Aside from tariffs and quotas, governments also choose to use **legislation** and **subsidies** to protect domestic businesses

The use of government legislation and domestic subsidies to protect domestic industries

	Government legislation	Domestic subsidies
How does it work?	▪ Governments can impose laws to restrict certain imports to protect customers and businesses ▪ Imports may need to meet strict regulations in order to be allowed into a country	▪ Payments are given to domestic businesses to help lower the costs of production
Example	▪ There is a UK ban on imported chicken from the USA due to the practice there of using chlorine to wash chicken carcasses	▪ Post-Brexit, the UK government is providing subsidies to its farmers in order to decrease their costs of production
Benefits	▪ Allows domestic firms to grow, as they have limited competition from businesses abroad	▪ Reduced costs can lead to lower prices, making domestic firms more competitive in international markets, as their exports may be cheaper ▪ Businesses remain competitive, which helps to protect jobs in the industry
Drawbacks	▪ Can lead to retaliation from countries facing the legislation	▪ Businesses may become inefficient, as they know their costs are being subsidised



Examiner Tips and Tricks

In Paper 1, you need to be able to evaluate the effects of protectionism on a business. You should also be able to assess the short-term and long-term effects of protectionism on foreign and domestic businesses. Depending on the nature of the business, the effect of protectionism can be immediately felt. It may take some time

for other firms to feel the effects. Read the case study carefully to determine the context.



Your notes



Expansion of trading blocs

- A **trading bloc** is a group of countries that form an agreement to reduce or eliminate protectionist measures between each other
- Joining a trading bloc is a key method of increasing **trade liberalisation** and leads to **trade creation**
 - Trade creation means that businesses are able to **enter new markets**, which can lead to an increase in **sales volume** and **sales revenue**
- Three of the largest trading blocs include the **European Union (EU)**, the **Association of Southeast Asian Nations (ASEAN)** and **USMCA** (United States, Mexico and Canada, formerly known as **NAFTA**)

The European Union

- The EU is an **economic union**, **originally** formed in 1993
- Countries in Europe can apply to join the union, and, as of February 2023, there are 28 countries in the union
- Being a member of the EU includes the **free movement of goods and people between countries**
 - **Countries within the union have no trade restrictions between themselves**
 - Countries within the union have common external barriers (e.g. tariffs) to countries outside of the union
- The UK voted to leave the EU in 2016 and officially left in 2020

Association of Southeast Asian Nations

- ASEAN was originally formed in 1967
- In February 2023, ten countries were part of this free trade area
- The ASEAN free trade area is less integrated than the EU, as it does not allow for the free movement of people between the countries, whereas the EU does
 - A free trade area aims to achieve the free flow of goods in the region (eliminating trade barriers)
 - Free trade areas lower business costs, increase market size and help businesses generate economies of scale

United States, Mexico and Canada

- **USMCA** is the trade bloc that superseded **NAFTA**, which was established in 1994 between **Canada, Mexico and the USA**. The aim was to promote free trade between these countries

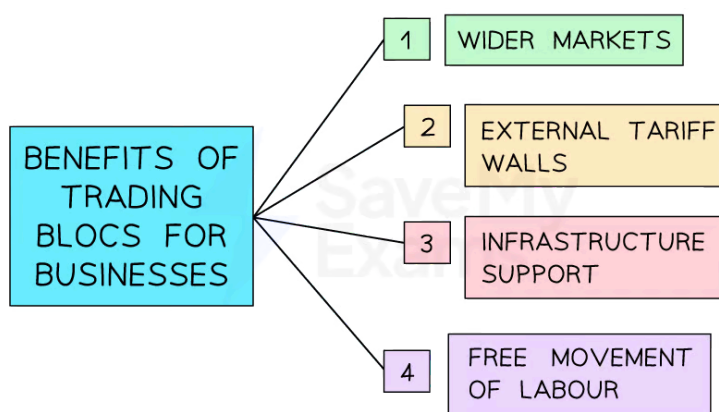


- In 2018, the terms of the agreement were renegotiated, and it was renamed
- Many USA businesses relocated their manufacturing to Mexico, as goods could be produced there much more **cost-effectively** due to the lower wages paid to Mexican workers
 - The products could then be imported back into the USA without any tariffs being incurred
- Mexico benefitted from this agreement, as it helped to create many new industries and jobs within the country
 - However, most of the benefits occurred in the north of the country, close to the USA border

The impact of trading blocs on businesses

- The impact of trading blocs on a business is dependent on whether the business **trades in or out of the trading bloc**
- Businesses **outside the trading bloc** will face higher costs from protectionist measures, such as tariffs, and trying to meet legal requirements inside the trading bloc
 - This will make these businesses **less competitive** when trying to sell goods to member countries within the bloc
 - Being outside the bloc is likely to decrease their sales volume to countries within the bloc

Benefits for businesses inside the trading bloc



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The benefits for businesses of belonging to a trading bloc include external tariff walls and free movement of labour

1. Access to more markets

- Businesses are able to sell to **more customers** due to the **free movement of goods**

2. External tariff walls



- An **external tariff wall** is a tax applied to imported goods by a group of countries that have formed a trade agreement
- This protects businesses within the trading bloc from competition from businesses outside of the trading bloc

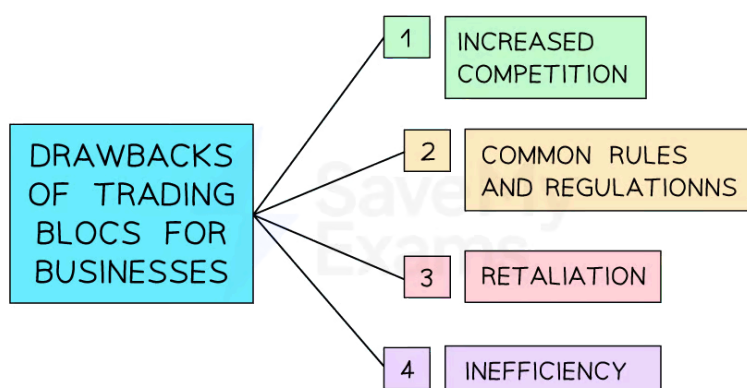
3. Infrastructure support

- Businesses may gain **additional support** from the government to enable them to maintain their competitiveness against businesses in countries within the trading bloc

4. Free movement of labour

- Trading blocs may also have **free movement of labour**, allowing businesses to source workers from a wider pool
- A higher supply of labour may push wages lower, leading to reduced costs for businesses
- E.g. citizens of EU countries have the **right to work in any member state** and to be **treated equally** as citizens of that state

Drawbacks for businesses inside the bloc



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The drawbacks to businesses of belonging to a trading bloc include increased competition and the potential for retaliation from countries outside of the bloc

1. Increased competition

- There is **increased competition** for businesses within the trade bloc, which may be more of an issue for **small businesses**, as they have fewer resources available with which to compete
- Businesses with monopoly power can increase their monopoly by eliminating competitors in other countries within the bloc
 - E.g. the **UK supermarket industry** faced increased competition from the German supermarkets **Aldi and Lidl** when the UK was part of the EU

2. Common rules and regulations

- In order to operate as one market, **new rules and regulations** may be put in place that all businesses must adhere to

- E.g. the EU working time directive states that employees can only work a maximum of 48 hours per week



Your notes

3. Retaliation

- **External tariffs** set against countries outside of the trading bloc may lead to **retaliation** from these countries

4. Inefficiency

- Although there is increased competition between countries within the bloc, there is less competition from businesses in countries outside of the bloc
 - This may reduce the incentive of businesses to be more efficient
- Trading blocs also lead to **trade diversion**, which means trade is taken away from efficient producers that operate outside of the trade bloc and replaced by trade within the bloc